



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 5

SOURCES OF FUNDING



University of Colorado **Boulder**

BVC

BOULDER VENTURE CLUB

Interested in entrepreneurship
or venture capital?

Thursdays 6pm @ KOBL 323

- Pitch nights & speaker events
- Interactive workshops & activities
- Hands-on experience
 - Get Seed Funding (\$500 cash to student start-ups)
 - Girls Into VC
 - Venture Capital Investment Competition



Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam

Venture Capital, Private Equity, and the Financing of Entrepreneurship

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Venture Capital, Private Equity, and the Financing of Entrepreneurship

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Ann Leamon
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Together with ideas from:
William Kerr
Ramana Nanda
James McQuade

A 3D metallic dollar sign is positioned in the center-left of the frame, appearing to pin a financial chart. The chart features a series of vertical bars in shades of yellow and orange, with a dashed white line representing a trend. The background is a dark, textured blue with a subtle grid pattern. The text "WHERE DO ENTREPRENEURS FIND MONEY TO START THEIR BUSINESSES?" is overlaid in white, bold, uppercase letters. A small white horizontal line is centered below the text.

WHERE DO ENTREPRENEURS FIND
MONEY TO START THEIR BUSINESSES?

Determinants of Funding Source

- **Underlying profitability:** The value of the output relative to the value of the input.
- **Asset intensity:** The amount of assets that must be tied up in the business in order to generate sales.
- **Pace of growth:** The speed at which a venture needs to grow.

Bootstrapping

- In this mode, the entrepreneur achieves early cash flow and becomes profitable by drawing on personal resources, without giving up any equity to investors.
- Bootstrapping can:
 - prevent dilution
 - instill discipline
 - enforce a reasonable rate of growth
 - put a limit on growth
 - deplete the personal resources



Debt investment: Banks

- Debt investors lend a fixed sum of money for a specified period at a given interest rate.
- Inherently, in debt investing, the upside is limited. Even if the entrepreneur is extremely successful, the debt investor's return will be equal to the principal of the loan plus the prespecified interest.
- Debt investors can lose the full value of their principal in the event of a default.
- Therefore, debt investors are often motivated to press the entrepreneur to pursue less risky projects.

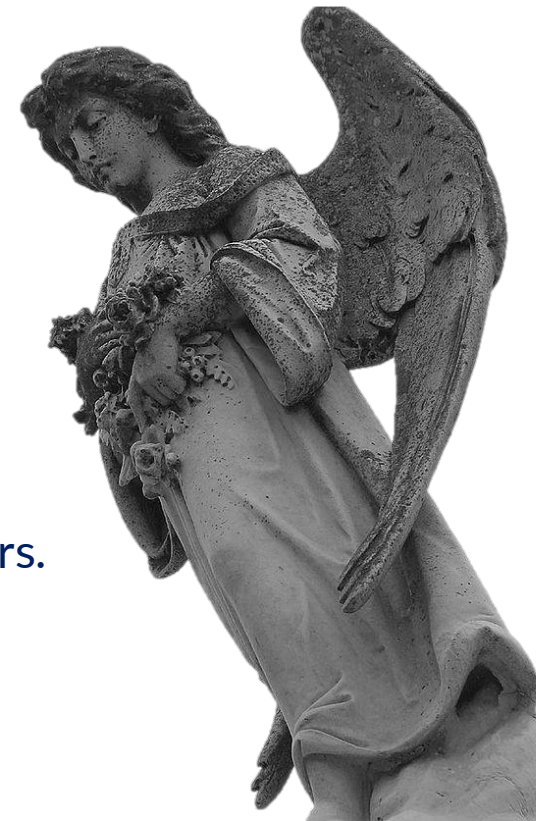


Equity investment

- Equity investors receive a long-term ownership stake in a venture in exchange for capital.
- Equity investors too can lose the entire value of their principal. But, unlike debt investors, they enjoy tremendous upside potential. That's because they share in the ownership.
- Depending on the portfolio of equity investors, they are more likely to push entrepreneurs toward riskier projects.
- Equity investors can be helpful not just through investing money, but also by providing expertise, monitoring, and governance.

Equity investment: Angels

- Angels are investors, or groups of investors, who invest their own, personally raised money in startups.
- Friends and family can be angels.
 - They may be easy to approach.
 - Deal terms could be more favorable than with professional investors.
 - But failure may damage relationships.
- Angels could also be local business leaders, wealthy individuals, and former entrepreneurs.
 - They may want to invest in promising opportunities, keep contact with new generations of entrepreneurs, or simply give back to the community, among others.
 - Usually, a good fit when entrepreneurs need <\$1,000,000.
 - Ideally, angels could provide expertise, but with less structure than VCs.
 - Check out angellist.com



Equity investment: Venture Capitals (VCs)

- Entrepreneurs may be able to receive VC funding, if:
 - the amount that they are seeking is large,
 - funding can be staged, and
 - upside potential is high.
- VCs manage risks by creating a diversified portfolio of investments. A *home run* investment can make up for losses in other risky investments.
- VCs investment are often large. For the first stages of funding (*Series A round*) the investments tend to be around between \$1,000,000 and more than \$10,000,000.
- VC deals often include structural changes to the venture (e.g., seats on the board for the VC, dilution in the stocks, option to change the CEO, etc.)

Equity investment: Strategic investors

- Investment can come directly from large corporations to new ventures.
- Large corporation with deep pockets can offer investments that are beyond the reach of VCs.
- They may offer good liquidity options to the entrepreneur.
- Linking with strategic partners can close the door on other funding opportunities.
- Entrepreneurs working with strategic investors need to understand their internal dynamics.

Entrepreneurial finance framework



Other sources of funding

- **Crowdfunding:** pooling of resources by many individuals to contribute to or invest in private companies and projects.
 - Check out kickstarter.com
- **Accelerators/incubators:** A program, generally run by for-profit organizations, that provides office space, proximity to other entrepreneurs, mentoring, access to investors, and some seed funding for cohorts of entrepreneurs.
- **Government:** The Small Business Innovation Research (SBIR) and Small Business Technology Transfer (STTR) programs are highly competitive programs that encourage domestic small businesses to engage in Federal Research/Research and Development (R/R&D) with the potential for commercialization.

THANK YOU!